24
Dispute resolution

Learning objectives

This chapter reviews the options that are available to the parties to a documentary credit when a dispute arises.

By the end of this chapter, you should be able to:

- describe the services made available by the ICC; and
- select the appropriate forum for the different types of dispute that may be encountered.

24.1 Introduction

The process of examination of documents under a documentary credit will often result in a difference of opinion as to whether the documents comply or not, and if they are considered to be discrepant, which discrepancies are applicable.

Some discrepancies will be quite obvious and / or known to the presenter. These are generally resolved by the submission of a new document or the correction of a document, or by the applicant providing a waiver that is acceptable to the issuing bank.

While most of these disputes will relate to the interaction between a beneficiary and a nominated bank, they may equally concern:

- an applicant and an issuing bank (where the issuing bank has honoured a presentation, but the applicant is of the view the documents are discrepant);

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- a beneficiary and an issuing bank (where the beneficiary has presented documents directly to the issuing bank, or where a nominated bank has not agreed to act on a nomination to honour or negotiate and may have acted only as a delivery service for the documents, but has left the beneficiary to interact with the issuing bank); or

- the nominated bank and the issuing bank (where the nominated bank has honoured or negotiated what it believes to be a complying presentation, and the issuing bank disagrees and refuses to reimburse, or is seeking a refund of reimbursement already received by the nominated bank).

In each of these cases, it is to be hoped that an amicable solution will be reached and that the applicant will eventually take up the documents. However, for some, the arguments put forward on both sides are so strong that an external source of information or decision-maker is required to help to determine who is right and who is wrong.

24.2 ICC services

Since 1933, the ICC has made available seven UCP publications, two URR publications, three ISBP publications, and two decision documents relating to the determination of an original document and the handling of documentary credit transactions during the transition from European legacy currencies to the euro, as well as a number of educational papers.

In addition, the ICC Banking Commission has given hundreds of official Opinions in respect of questions posed by banks, corporates, lawyers, logistics organisations, etc, many of which relate to whether or not documents complied.

Since 1997, more than 130 decisions of the Documentary Dispute Resolution Expertise (DOCDEX) service (see section 24.2.2) have also been rendered, the vast majority relating to documentary disputes.

The text of ICC Opinions and transcripts from DOCDEX cases will often help parties to understand the correct application of the UCP or URR in relation to a transaction with similar circumstances or issues.

24.2.1 ICC Opinions

While ICC Opinions are not binding, they do provide some understanding of how the UCP and / or URR should be applied in a number of given situations. ICC Opinions have been used in evidence in court cases for many years, to support the position of a defendant or plaintiff.

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It is usual that a single entity will submit a request for an Opinion. (A joint submission has been made in only two instances.) It therefore follows that only one set of views of the transaction will be given. From the perspective of the Banking Commission, there is no guarantee that all of the facts will have been given or that they will have been properly represented in the query as submitted.

As a result, it is important to note that the analysis and conclusions that are given to these Opinions must be read in the context of the query that has been outlined and the question(s) that have been asked. The Banking Commission will answer only the question(s) submitted.

It should also be noted that the request for an Opinion must include all of the pertinent details, because no supporting documents (such as copies of shipping documents) are permitted unless absolutely necessary for an understanding of the query, analysis and / or conclusion.

The Banking Commission has established a set of guidelines for the submission of a request for an Opinion, which are as follows.

1. All requests for an Opinion must be routed through the local ICC national committee or, where this is not available, a local banking association or similar.

2. Only one topic or issue may be raised in a request for Opinion, but each request may contain more than one question related to the text of the query. Where issues cover more than one documentary credit, collection or guarantee, they must be submitted as separate requests unless the facts are identical for each transaction.

3. It is the responsibility of each ICC national committee or banking association to ensure that the issue contained in any request does not represent a hypothetical situation or question. The ICC's officers may seek separate assurances before issuing a draft Opinion if they have any doubts as to the nature of the query.

4. It has recently been the case that a number of requests have consisted of five or more A4 pages of text. Such requests, with often a high level of detail, are more appropriate for the DOCDEX service (see section 24.2.2). National committees and banking associations should consider recommending this service to initiators in cases in which review of the shipping documents may be necessary to come to any conclusion. An Opinion request should, unless there are special mitigating circumstances, consist of a maximum of two A4 pages, in Times New Roman font at font size 12. If more than two A4 pages are submitted, the officers will consider whether or not the request, in its presented form, can be considered for an Opinion.

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5. Even with requests that are of one or two pages, it can be difficult to follow the sequence of events in a query when the various banks are described as 'Bank A', 'Bank B', etc. It has therefore been decided that the banks should be identified in the query by their roles – that is, as 'issuing bank', 'advising bank', 'confirming bank', 'nominated bank', etc. National committees and banking associations are requested to take note prior to submitting any request for an Opinion.

6. The deadline for submission to ICC headquarters in Paris of a request for an Opinion is ten weeks prior to a meeting of the Banking Commission.

7. The technical advisers and officers will be responsible for review of the query as submitted, and ICC headquarters will email the consolidated final draft Opinions to national committees and members of the Banking Commission eight weeks prior to a meeting of the Banking Commission.

The Banking Commission currently provides Opinions free of charge.

A draft version of the Opinion will be sent to the initiator quite quickly. However, it should be noted that, because the ICC Banking Commission meets only twice a year, it could be anything up to six months before the Banking Commission will approve the draft Opinion. Requesting an ICC Opinion is therefore not suitable for resolving disputes over a current transaction. It may be possible, however, to find an Opinion given previously on a similar issue that will help the parties to understand and resolve any dispute.

The ICC publishes Opinions periodically.

24.2.2 The Documentary Dispute Resolution Expertise (DOCDEX) service

The ICC's DOCDEX service commenced in October 1997, but was applicable only for disputes relating to transactions subject to the UCP and / or URR. When the DOCDEX rules were updated in March 2002, the scope was widened to include transactions subject to URC 522 and URDG 758.

In November 2014, the Banking Commission approved a new set of DOCDEX rules that additionally caters for transactions subject to ISP98 and also trade finance transactions that are not subject to ICC rules.

Today, the DOCDEX service offers bankers and traders a means by which to settle trade finance disputes, usually within two to three months or less. The key advantage of DOCDEX is that parties can stay out of court and settle a dispute reliably, quickly and at a low cost.

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The ICC International Centre for Expertise, a unit within the Secretariat of the ICC International Court of Arbitration, administers the DOCDEX process.

DOCDEX offers a system whereby experts carefully examine all documents before reaching a decision. A panel of three such impartial experts decides the cases. The Centre selects each expert after carefully screening to check their qualifications and independence. Experts include bankers, lawyers, consultants and individuals who have dealt with trade finance issues for many years.

The panel's decision is further scrutinised by a technical adviser to the Banking Commission, who personally reviews each decision to ensure that it conforms to applicable ICC rules and their interpretation by the Banking Commission, or to established international practice where no ICC rules are applicable.

Decisions are binding only if both parties have so agreed in their respective submission to the Centre.

The full text of the DOCDEX rules is available free of charge from the ICC, online at www.iccwbo.org.

Example

To settle a documentary credit dispute using DOCDEX, the parties follow two simple steps.

1. The initiator (known as the 'claimant') – usually the party with most at risk – submits a request for a DOCDEX decision, along with the standard fee of USD5,000 and all relevant documents, to the ICC International Centre for Expertise. These documents will include a copy of the documentary credit and any amendments thereto, copies of the shipping documents and copies of all correspondence between the two parties concerning those documents, including the refusal notice.

2. The Centre will approach the other party (known as the 'respondent') to see if it wishes to take part in the process. If it does, the respondent will be invited to submit its copies of the relevant documents. Clearly, these documents should match with those submitted by the claimant.

If the respondent decides not to take part, a DOCDEX decision will be rendered, but it will be clausedto the effect that the respondent chose not to take part.

DOCDEX decisions are reached much faster than decisions resulting from litigation or other forms of dispute resolution. The average DOCDEX

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decision is handed down in less than three months, while courts may easily take between 6 and 18 months or longer.

The standard fee for DOCDEX is USD5,000, although the cost may vary depending on the amount in dispute. Even in exceptional cases, the fee will not exceed USD10,000.

The ICC publishes details of the DOCDEX decisions periodically, although the identities of the parties are never disclosed. The purpose is to provide information that will enable practitioners to avoid common errors leading to disputes, while at the same time preserving confidentiality.

It should be noted that a refusal of documents and a dispute as to whether the discrepancies are valid or not should not directly lead to a request for a DOCDEX decision, in much the same way as a bank would not immediately seek court action in the event of a dispute to decide who was correct. The DOCDEX service will invariably be used only when all communication avenues have been exhausted, without agreement, and the process will be seen as a key indicator as to how the transaction may be viewed by a court should the dispute progress that far.

24.3 The use of the courts

If all attempts at resolving a dispute fail, including seeking an ICC Opinion or a DOCDEX decision, court action may be the only option available.

This can be a very expensive exercise and, depending on the jurisdiction, can take up to 18 months (or more) for the case to come before a judge. Costs incurred will include those in respect of the court, the lawyers and solicitors that will be engaged by the defendant and plaintiff, and the selection of one or more expert witnesses to testify on behalf of the defendant or plaintiff.

If there are ICC Opinions or DOCDEX decisions that can support the position taken by the defendant or plaintiff, these can be cited in court. It has become commonplace over recent years for ICC Opinions to be widely cited and recognised by the courts as authoritative documents. Likewise, a defendant or plaintiff entering into evidence a DOCDEX decision rendered in its favour will find the decision extremely beneficial to its case.

Court cases involving documentary credit or standby letter of credit disputes are widely reported in the United States, the United Kingdom, Hong Kong, Singapore and mainland China.

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24.4 Arbitration

The use of an arbitration or mediation service is far more likely to occur in disputes between a buyer and seller relating to a sales contract than those concerning the status of documents under a documentary credit and the UCP.

Most major centres will have their own arbitration services, as do some industries and commodities, for example the Grain and Feed Trade Association (GAFTA).

The arbitration procedure is usually as follows.

1. The arbitrator, who may be part of a panel of between three and five individuals, initiates the hearing by swearing in the parties and the witnesses who will testify.

2. The parties then give opening arguments, and present both documentary (usually written) and testimonial (oral) evidence.

3. The lawyers are allowed to question witnesses and the arbitrator may ask questions if necessary. Rebuttal questions are also allowed.

4. The arbitrator then makes a decision and issues an arbitration award.

In some systems, the parties can have a document hearing, at which the arbitrator studies only the paperwork or electronic documents submitted by each party, on the basis of which he or she makes a decision and issues an arbitration award.

Alternatively, the parties may opt for a participatory hearing, at which each party submits evidence and appears before an arbitrator, who studies the evidence, makes a decision and issues an arbitration award.

The arbitration decision, or 'award', is legally enforceable and often reviewable by the courts.

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